
Q3 2026 board update

Sample Co. is a fictional B2B software company. Every figure in this deck is sample data, invented for this example.

CEO, Sample Co. · Board meeting, October 2026

Q3 beat plan, but SMB churn puts year-end ARR \$230k short; we propose moving two hires to onboarding

1

New business is healthy

Q3 new ARR beat plan by 21%, the third straight quarter above plan.

2

SMB churn now limits growth

If the trend continues, year-end ARR lands about \$230k below the \$12.0M plan.

3

The cause is SMB accounts that never finish setup

Onboarding load per specialist rose 41% while the team stayed at two people.

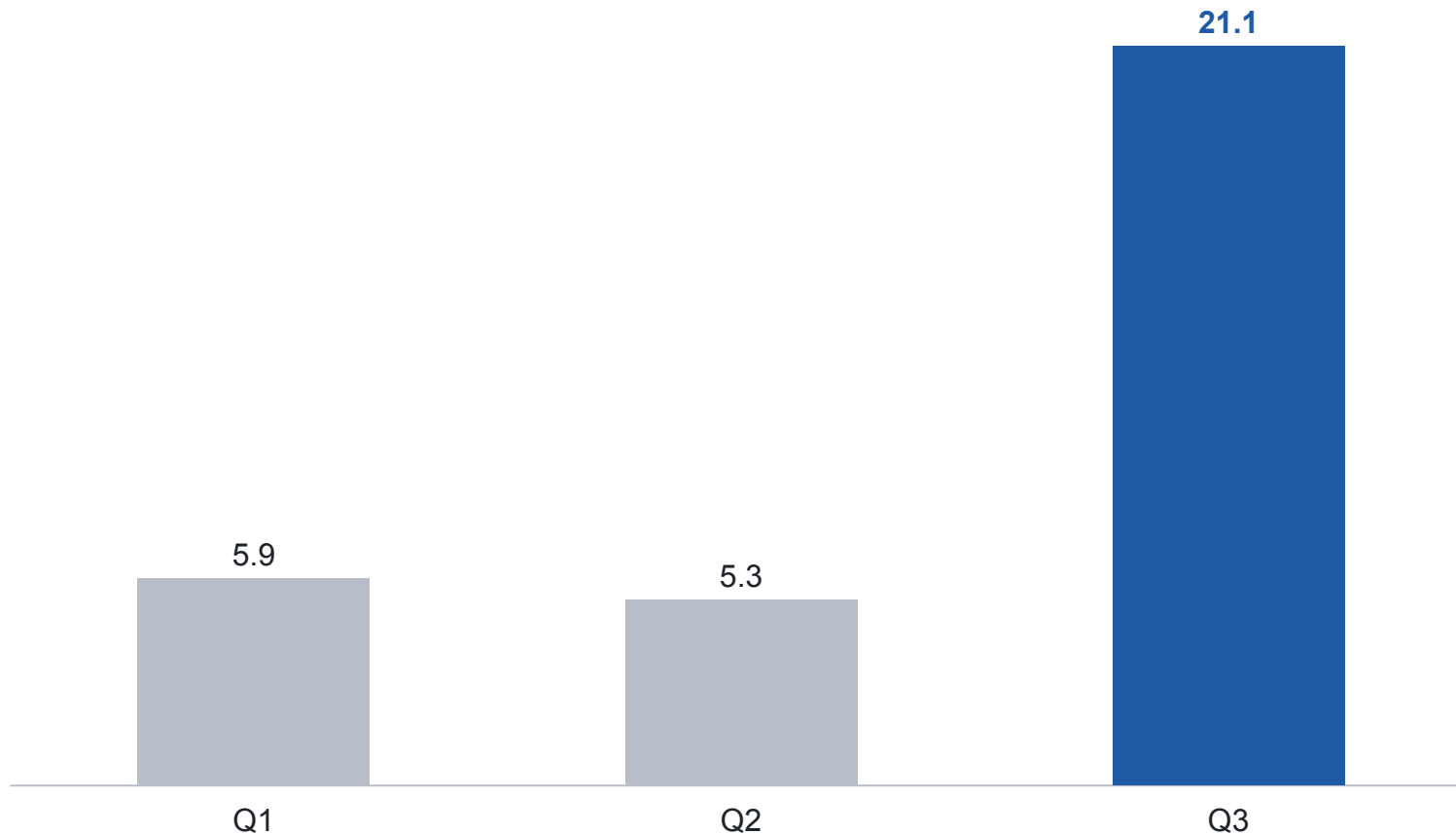
4

Move two Q4 sales hires to onboarding

It saves \$110k a year and recovers about \$82k of Q4 ARR. We ask for two approvals today.

New ARR beat plan by 21% in Q3, the third straight quarter above plan

New ARR versus plan, 2026, %



So what

- Q3 new ARR was \$1,150k against a \$950k plan
- Q1 and Q2 also beat plan, by \$50k each
- Demand is not the problem

Results

Ending ARR of \$11.05M beat plan by 1.4%, a smaller margin than new ARR because churn rose

ARR bridge by quarter, \$k

\$k	Q2	Q3
Beginning ARR	9,250	10,160
New	1,000	1,150
Expansion	280	300
Contraction	-70	-80
Churned	-300	-480
Ending ARR	10,160	11,050
Plan, ending ARR	10,050	10,900
Ending ARR vs plan	110	150

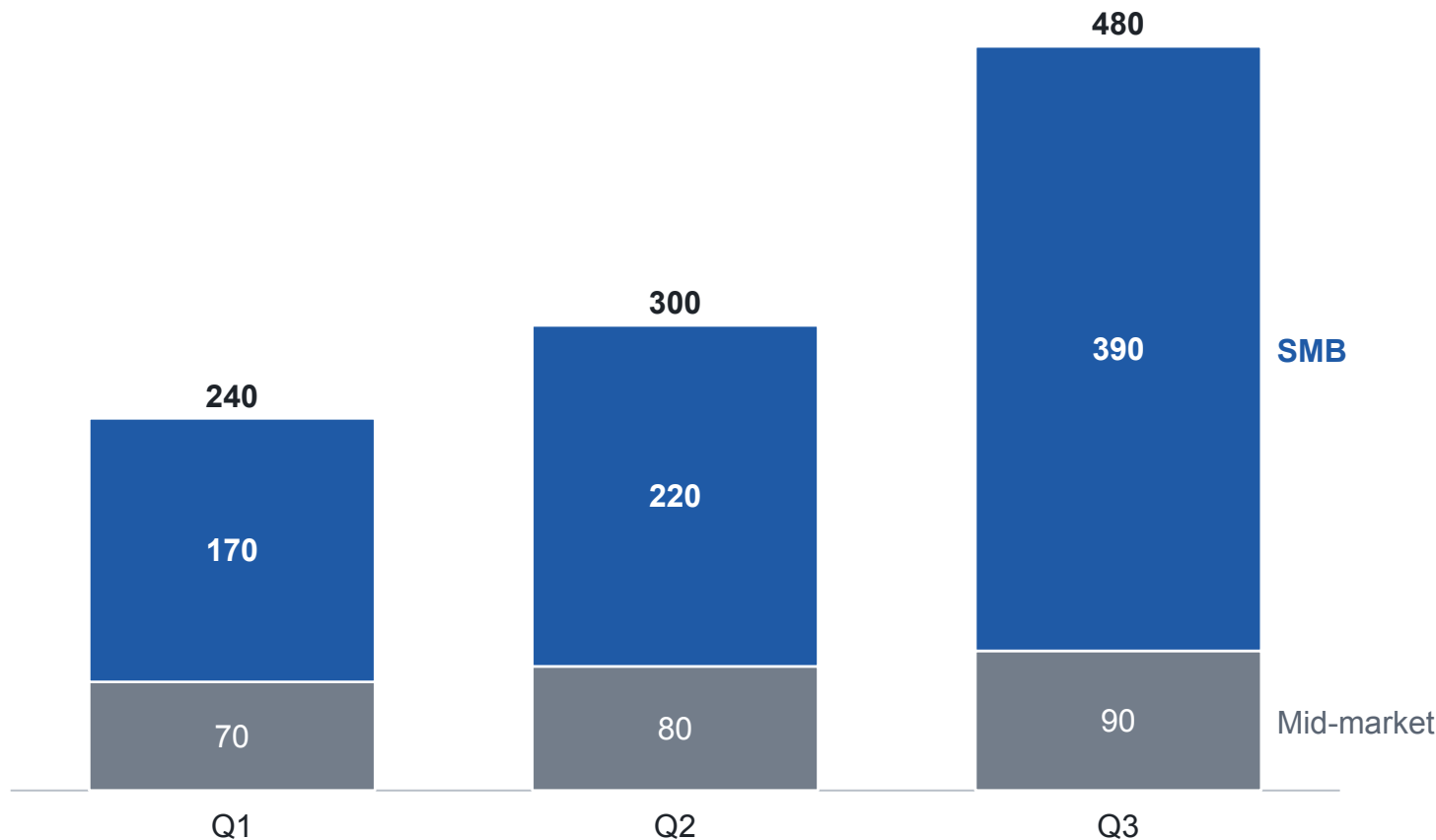
So what

- New ARR beat plan by \$200k, ending ARR by only \$150k
- Churned ARR rose from \$300k in Q2 to \$480k in Q3

Constraint

SMB churned ARR more than doubled since Q1 and now offsets a third of new bookings

Churned ARR by segment, 2026, \$k



So what

- Q3 SMB churn of \$390k equals 34% of Q3 new ARR
- SMB logo churn rose from 1.8% to 3.1% a month
- Mid-market churn is flat at \$70-90k a quarter

Constraint

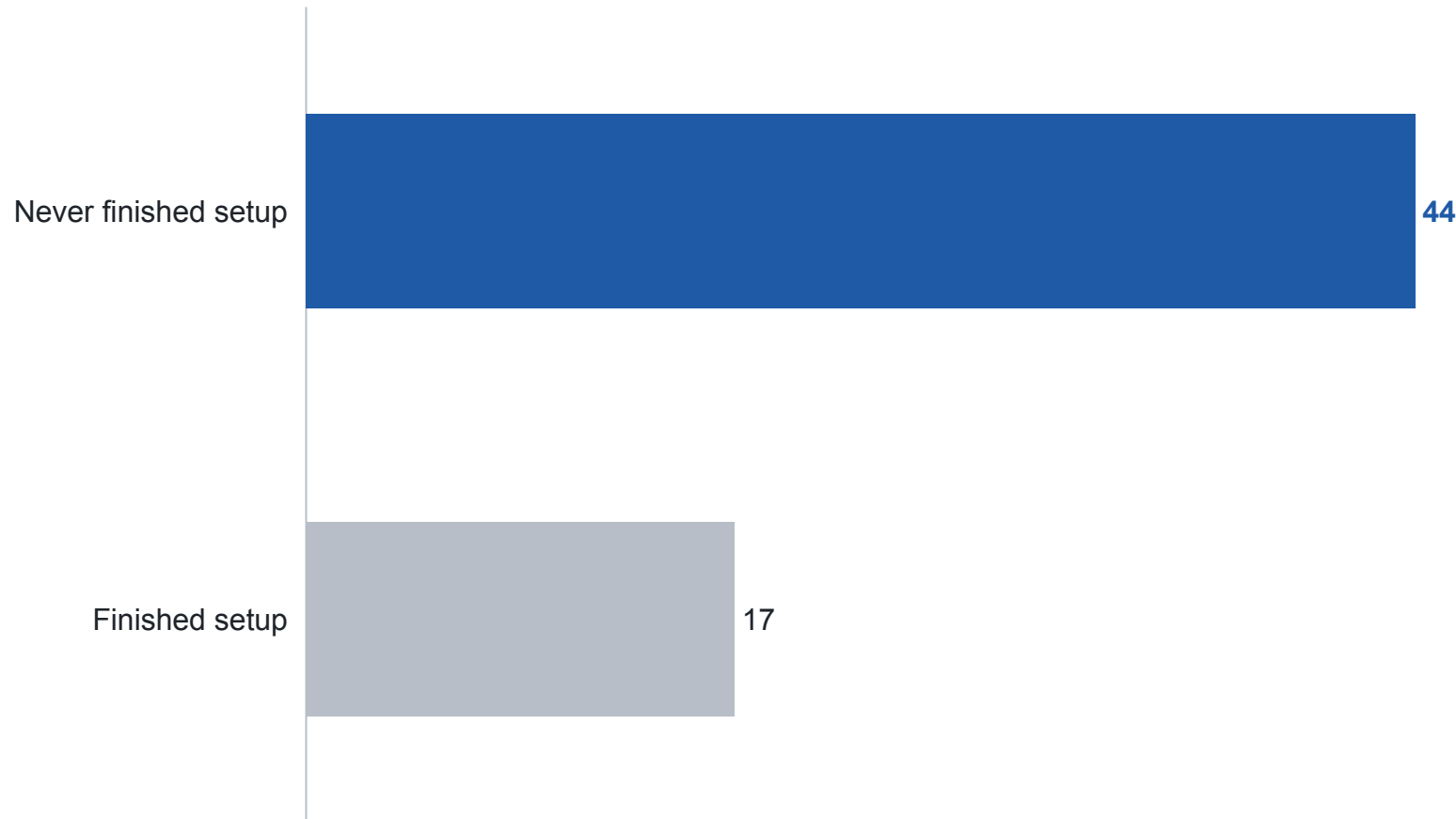
If the SMB trend continues, year-end ARR lands about \$230k below the \$12.0M plan

Q4 projection	\$k	Assumption
Q3 ending ARR	11,050	Actual
+ New ARR	1,150	Same as Q3 (plan: 1,050)
+ Expansion	300	Same as Q3
- Contraction	-80	Same as Q3
- SMB churn	-560	Rises by the same \$170k step as Q2 to Q3
- Mid-market churn	-90	Flat at Q3 level
Year-end ARR	11,770	Projection, not a commitment
Plan	12,000	Approved annual plan
Gap to plan	-230	

Cause

Most SMB accounts that churned in Q3 never finished setup in their first 30 days

SMB accounts that churned in Q3, by setup status, count



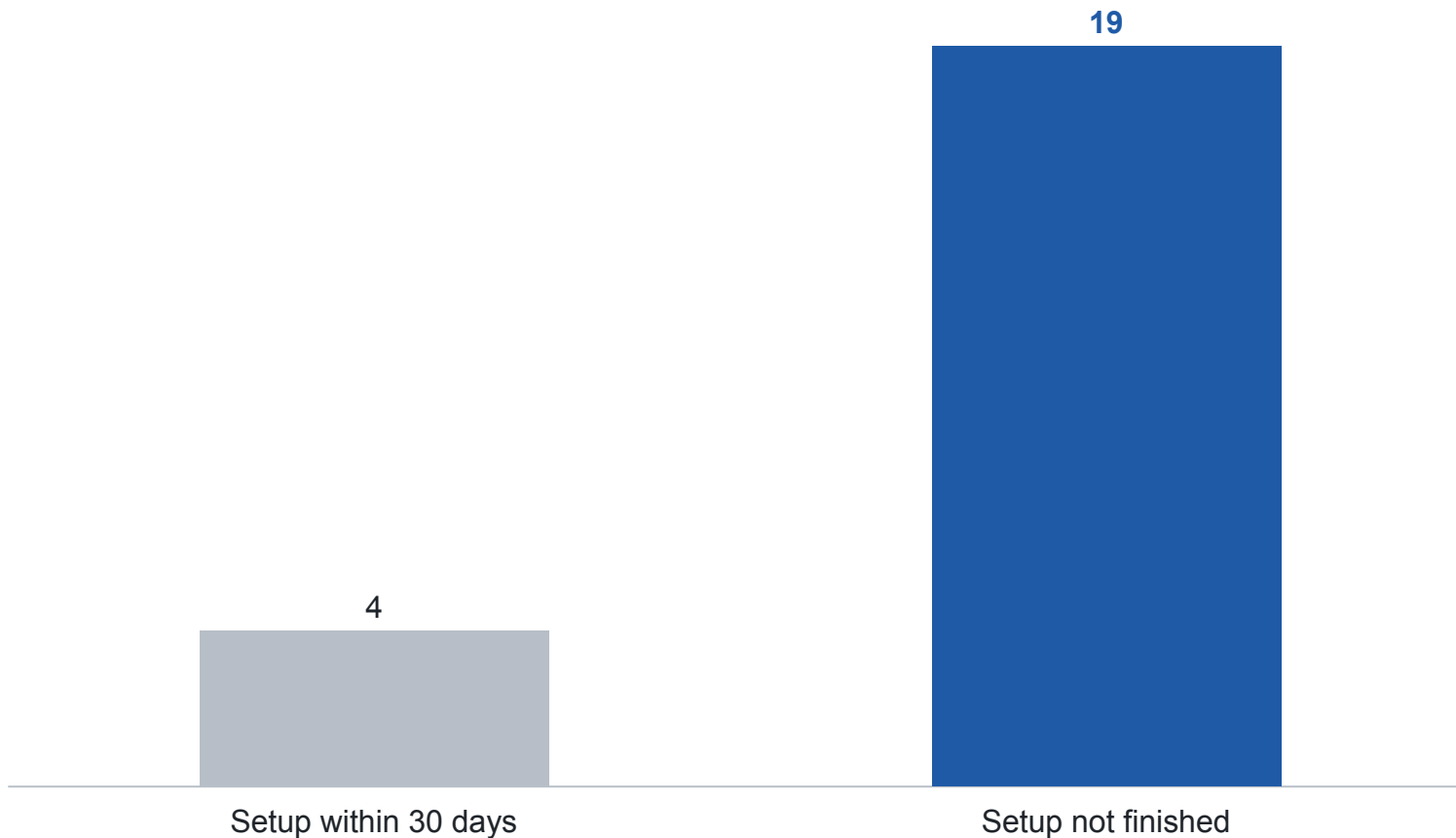
So what

- 44 of 61 churned SMB accounts (72%) never connected their integrations within 30 days
- Setup is the common thread among the SMB accounts we lost

Cause

Accounts that finish setup churn at about a fifth of the rate of those that do not

90-day churn by setup status, SMB accounts signed Jan-Jun 2026, %



So what

- 4% against 19% in the Jan-Jun cohort
- Getting accounts through setup is the lever onboarding controls

Cause

Setup completion fell from 68% to 55% as new accounts per specialist rose 41%

SMB onboarding load and results, 2026

Quarter	New SMB / month	Specialists	Per specialist	Setup in 30 days, %
Q1	85	2	42.5	68
Q2	100	2	50	61
Q3	120	2	60	55

So what

- The team is still two specialists, as in January
- Median days to setup went from 9 to 17
- Load per specialist: 42.5 to 60 new accounts a month (+41%)

Shifting two Q4 sales hires to onboarding saves \$110k a year and recovers about \$82k of Q4 ARR

Plan as approved: 4 sales hires

- 4 account executives at about \$150k each: \$600k a year
- New hires take about 5 months to ramp, so Q4 bookings barely change
- Onboarding stays at 2 specialists

Proposed: 2 sales hires + 2 onboarding

- 2 account executives (\$300k) and 2 onboarding specialists (\$190k): \$110k less a year
- Two support team members can transfer now
- Setting up half of the 170-account backlog saves about \$82k of ARR in Q4

The \$82k is an estimate: it assumes half the backlog is set up in Q4 and the cohort churn rates hold.

Source: Sample data; CEO notes (costs, ramp time, backlog of 170 accounts, average SMB ARR \$6.4k). $\$82k = 85 \text{ accounts} \times (19\% - 4\%) \times \$6.4k$.

The cost is slower sales capacity in 2027, which Sales has not yet sized

What we give up

- Two fewer account executives ramping into 2027
- Sales has not yet modelled the effect on 2027 new ARR
- VP Sales brings that model to the January board

What we keep

- Q4 bookings: new hires would add little before they ramp
- The \$110k a year saving
- A fix for the cause of SMB churn before it grows further

We ask the board to approve the swap and a revised year-end forecast of \$11.85M

		Owner	Timing
1	Approve converting two Q4 sales requisitions into onboarding specialists Two support team members transfer now; saves \$110k a year	Board	Today
2	Accept a revised year-end ARR forecast of \$11.85M \$11.77M projection plus about \$82k recovered by onboarding	Board	Today
3	Review SMB churn and the 2027 sales capacity model Setup completion back above 60% is the first test	CEO and VP Sales	January board

Cash runway stays near 22 months at the current \$650k monthly burn

Item	Value
Cash at end of Q3	\$14.2M
Net burn per month	About \$650k
Runway at current burn	About 22 months
Effect of the swap on annual cost	\$110k lower

Q1-Q3 2026 metrics by quarter

\$k unless stated	Q1	Q2	Q3
New ARR	900	1,000	1,150
Plan new ARR	850	950	950
Ending ARR	9,250	10,160	11,050
Plan ending ARR	9,200	10,050	10,900
Churned ARR, SMB	170	220	390
Churned ARR, mid-market	70	80	90
SMB logo churn, % a month	1.8	2.2	3.1
Mid-market logo churn, % a month	0.6	0.7	0.6